10. A Binding Constraint: Corruption and Economic Development in Brazil

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Introduction

Corruption is "the abuse of public trust for private gain" (Todaro & Smith, 2020, Section 11.9.1). Its burden is not shared evenly. The rich may pay larger bribes, but the poor pay much larger fractions of their incomes in bribes and extortion. Corruption therefore works as a regressive tax on the absolutely poor (Todaro & Smith, 2020). This definition frames corruption as a transfer from the public to private holders of power. The economic question is why such a costly transfer persists.

Institutional economics answers that question with path dependency. Douglass North defines institutions as the formal and informal rules of the economic game. These rules set the incentives that shape organizations: "If the institutional matrix rewards piracy, then [only] piratical organisations will come into existence" (North, as cited in Todaro & Smith, 2020, Section 11.7.2). Once inefficient rules are in place, the people in power have no incentive to change them, because the rules give them larger private gains than any alternative. Inefficient institutions therefore persist at the expense of overall welfare and growth. Past conditions lock in future conditions (Todaro & Smith, 2020).

Brazil fits this pattern. Brazil scored 35 out of 100 on Transparency International's 2025 Corruption Perceptions Index and ranked 107th of 182 countries, which places it in the lower half of the index (Transparency International, 2026a). On the surface, the score rose by one point from 2024. Beneath that aggregate, the ranking stayed in the lower half of the index. The longer series is worse. Brazil scored 43 in 2012, and only its 2024 score of 34 sits lower in the series beginning in 2012 (Transparency International, 2026a). A one-point gain off a record low is a marginal movement within a longer decline, not a recovery.

This paper argues the following thesis. Brazil's corruption is a path-dependent institutional equilibrium in which political and economic elites capture state institutions to protect rents and suppress accountability. Because this equilibrium reabsorbs reform efforts and rewards rent-extraction over productive investment, it distorts market competition, raises the cost of capital, and entrenches inequality, making corruption a binding constraint on Brazil's economic development.

Analysis

Bribery, controls over the press, and limits on civil liberties are often found together, and they reinforce one another (Todaro & Smith, 2020). Brazil shows all three. Each one protects a rent by lowering the chance that it will be detected or contested.

Bribery and Graft

Graft is a crime of concealment. Its expected cost to an official equals the probability of detection times the penalty. During the 2014 to 2018 Lava Jato investigations, the Federal Police, the Comptroller General's Office, and the Federal Prosecutor's Office raised that probability and secured many high-level convictions (Mkhize, 2025). The Bolsonaro government (2019 to 2022) lowered it again. The Lava Jato task force was terminated, and other anti-corruption task forces were disbanded. The financial intelligence authority (COAF) was moved under the presidency, apparently to shield allies, including from investigations into the president's son. Broad secrecy decrees on government documents severely undermined transparency (Mkhize, 2025).

The political signals matched the institutional changes. The president openly criticized the Federal Police and the judiciary for their probes, and his administration actively obstructed investigations. His party in Congress pushed laws that diluted rules on party finance and federal budgets (Mkhize, 2025). Each step targeted detection, not the law itself. COAF exists to trace

suspicious money. Placing it under the officials it should monitor apparently turns a detection agency into a protection agency. On the surface, Brazil's legal framework remained among the strongest in Latin America, anchored by the Clean Companies Act of 2014. Beneath that framework, the probability of detection fell (Mkhize, 2025). The conclusion that the expected cost of graft fell with it is an inference based on the competitive bid average. None of the sources measures that expected cost directly.

Anticompetitive Market Manipulation

The Petrobras procurement system shows how capture converts public spending into private rent. Petrobras prepared an in-house cost estimate and then invited selected firms to bid. Invitations rested on prior relationships, were often limited to national firms, and were sometimes extended for political reasons rather than technical capability (Signor & Love, 2017). Directors of the company allegedly received bribes in return for awarding contracts at inflated prices. Strategic qualification requirements kept possible competitors out, so on large projects only a cartel of 16 firms, the self-named League of 16, submitted bids. In 15 of the first 22 projects examined, the winning bid sat near or above 20% over the estimate, and the losing bids were cover bids that simulated competition (Signor & Love, 2017). Prosecutors allege the cartel divided the work and channeled the excess cash back to company officials and political parties.

Federal Police forensic experts tested the pattern statistically. They compared 561 bids across 77 projects: 55 projects with at least one bidder outside the cartel and 22 projects bid only by the League of 16 (Signor & Love, 2017). The decisive comparison is the price the buyer pays. In competitive projects, winning bids averaged 10.5% below the Petrobras estimate. In cartel projects, bids averaged 35.7% above it. Competition pushed the winner under the benchmark. The cartel pushed prices far over it. A t-test compared all bids in each group, with competitive

bids averaging 8.2% above the estimate. It produced t = 9.60 against a critical value of about 2.00, so the cartel bids did not come from the same population as competitive bids (Signor & Love, 2017).

One contract shows the cost. Petrobras estimated it at R$1.68 billion. Applying the 10.5% average discount of competitive winning bids implied an expected price of R$1.50 billion. When the cartel's bids exceeded the estimate, Petrobras revised its estimate upward and rebid. The contract was finally let for R$1.94 billion (Signor & Love, 2017). Based on the paper's reported figures, the implied loss is approximately R$435 million, or 22%. Under competitive conditions, the cartel bids on that project had probabilities of occurrence of 0.05% or less. The 22% figure covers direct loss only. It excludes the indirect loss from weaker incentives to innovate. Separately, the lead federal prosecutor estimated total damage across the scheme at more than R$20 billion. That figure is a prosecutor's estimate, not a result of the statistical analysis (Signor & Love, 2017). The 22% markup is not a construction cost, but a rent shared among firms, officials, and parties. Price discovery ran in reverse: the state's estimate moved toward the cartel's price, not the other way around.

Controls Over the Press and Civil Liberties

Independent scrutiny is what turns hidden corruption into public pressure for reform. When Taiwan's press gained freedom, scandals became public and generated demands for change (Todaro & Smith, 2020). The reverse mechanism also holds. Under Bolsonaro, secrecy decrees and the reorganization of oversight bodies cut the flow of information to the public (Mkhize, 2025).

The pattern did not end with that government. In January 2026, Transparency International condemned an escalation of harassment against its Brazilian chapter from elements

within the Brazilian government (Transparency International, 2026b). Officials had publicly claimed that the chapter was under Federal Police investigation. No public record of such an investigation existed, and the chapter had received no notice. Transparency International warned that confidential information may have been improperly cited for political purposes. The previous October, senior judicial figures had repeated unfounded allegations about the chapter's funding. The sequencing matters: the government praised civil society's role in principle while its officials targeted the specific organization doing the monitoring. The chapter had taken part in government initiatives, identifying risks to public resources, and the government itself had praised civil society's role in preventing corruption in large-scale public investment programs (Transparency International, 2026b). This government took office after Lula da Silva returned to power in 2023 (Mkhize, 2025).

Independent monitoring is a public good. Unfounded allegations and the threat of investigation raise the private cost of supplying it, so less of it is supplied. The pressure spans two administrations with opposite stated agendas: one dismantled anti-corruption task forces, and the other campaigned on revitalizing anti-corruption institutions (Mkhize, 2025). The suppression of independent accountability is structural, not partisan: whoever holds the state faces the same incentive to limit scrutiny of the rents it controls.

Evaluation

The mechanisms above matter for development through three channels. Reform is reabsorbed, competition is distorted, and the cost falls hardest on the poor.

Reabsorbed Reform and Path Dependency

Brazil's elite networks have long survived moments that should have changed them. Rodriguez Morales (2025) traces the structure to an oligarchic order inherited from colonial

times, in which sugar plantations based political power on the monopoly of land. Patron-client structures let landowners control state-level government and merge private interests with public goals. His study concerns bioenergy policy, not corruption, but the mechanism he documents is general. Across two critical junctures, from 1975 to 1986 and from 2000 onward, the sugar industry faced crisis and the threat of bankruptcy. Each time it secured state rescue through subsidies, tax breaks, and mandates (Rodriguez Morales, 2025). The official justification shifted from national security to environmental protection to climate policy. The interests it served did not change. Agrarian elites protected those interests through representative institutions as well as undemocratic means. The more settled a regime's rules become, the more capacity it has to steer institutional change in its own favor (Rodriguez Morales, 2025).

Lava Jato was a critical juncture for corruption, and it met the same fate. From 2014 to 2018 it produced many high-level convictions (Mkhize, 2025). The reversal followed. The task force was terminated, the Supreme Federal Court overturned convictions on procedural grounds, and it later nullified Lula da Silva's earlier convictions. Mkhize (2025) concludes that political will in Brazil can reverse sharply with a change of leadership, and that Lava Jato built expertise and expectations that were later undermined. North's framework explains why. The textbook notes that when high-bargaining-power interests have coincided with the public interest, such institutions proved hard to roll back (Todaro & Smith, 2020). Lava Jato rested on prosecutors, judges, and public enthusiasm. Its targets were the actors with the most bargaining power. In Lava Jato's case, those interests did not coincide with the public interest, so the institutions did not prove hard to roll back. The reform threatened the network without changing the network's incentives, so the network outlasted it. The 2026 harassment of Transparency International

Brazil, under a government elected on an anti-corruption platform, shows that the equilibrium also outlasted a change of administration (Mkhize, 2025; Transparency International, 2026b).

Market Distortion and the Cost of Capital

Enforcement decay is visible to investors. By 2022, Brazil had opened only five investigations under the OECD Anti-Bribery Convention, fewer than before, and its compliance rating was downgraded (Mkhize, 2025). Businesses report that high-level corruption often goes unpunished, and impunity is perceived to have increased. Enforcement has become erratic: the law permits prosecution, but practice does not deliver it (Mkhize, 2025).

What follows is an inference. None of the sources measures Brazil's risk premium directly. Under impunity, a firm that competes on cost must expect rivals to win through political access. The Petrobras case shows what that looks like: invitations to bid depended on relationships and politics, and outside firms were screened out (Signor & Love, 2017). An honest investor in such a market faces a lower expected return and a wider spread of outcomes. Investors respond by demanding a higher return before they commit capital, which raises the cost of capital for the whole economy. An absence of corruption encourages investment and efforts to expand the pie rather than fight over its distribution (Todaro & Smith, 2020). Brazil's equilibrium rewards the fight over distribution. Countries that have tackled corruption promoted competition and entry and avoided concentrated power in sectors such as energy (Todaro & Smith, 2020). Procurement at Brazil's national oil company did the opposite.

Regressive Incidence

The cost of corruption does not stay with the firms and officials who arrange it. The poor pay a much larger share of their incomes in bribes than the rich (Todaro & Smith, 2020). Figure 11.4 in Todaro and Smith (2020) shows the gradient for Ecuador. Microenterprises paid roughly

8% of revenue in bribes, compared with under 2% for large firms. Low-income households paid about 4% of income, compared with about 1.5% for high-income households. On the surface, the bribes of large firms look larger. Beneath that, the poor carry the heavier burden relative to what they have.

Grand corruption adds a second channel. Government for sale is government for the highest bidder, so the poor receive fewer services and worse schools and health facilities. That makes it harder to accumulate the means to escape poverty traps (Todaro & Smith, 2020). In Brazil, repeated budget increases on infrastructure projects have reduced investment in education and healthcare (Signor & Love, 2017). A 22% markup on one contract diverted R$435 million. The poor rely most on the public services that such diversions crowd out. Inequality then persists for the same reason the equilibrium does: those who lose from it have the least power to change it.

Conclusion

Corruption in Brazil is structural and self-reinforcing. It is not merely the product of individual bad actors. The firms, officials, and governments change, but the pattern holds. Elite networks have survived critical junctures by changing their justification while keeping their interests (Rodriguez Morales, 2025). This is the trap North describes: those who gain from inefficient rules have no incentive to change them, so the rules persist at the expense of growth (Todaro & Smith, 2020).

Development requires a vibrant private sector, an efficient public sector, and a vigorous citizen sector. Relying on only two has been compared to sitting on a two-legged stool, and each leg of the “three-legged stool” needs strengthening (Todaro & Smith, 2020, Section 11.8). Brazil’s equilibrium weakens all three legs at once. The market leg was cartelized in Petrobras

procurement. The state leg was captured when oversight agencies were reorganized and task forces disbanded. The civil society leg is under pressure through the harassment of independent monitors. Because these failures reinforce one another, repairing one leg alone will not hold the stool up.

Brazil illustrates the global stakes. Corruption indexes rate the incidence of corruption far higher in developing countries than in developed ones, and good institutions that constrain elites lead to higher growth and incomes (Todaro & Smith, 2020). There is no single best way to fight corruption. The countries that succeeded promoted competition and entry, made procurement transparent, reduced immunity from prosecution for senior officials, and secured judicial independence (Todaro & Smith, 2020). None of these is a purely technical fix. Each removes a rent from someone with power. Brazil already had strong anti-corruption laws, and its strongest enforcement effort was reabsorbed. Corruption is a binding constraint on Brazil's development, and it will remain one until reform changes who gains from the rules.

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